

Asterglen Answer to First Amended Counterclaim

Filed: May 27, 2025 District ECF No. 17 Civil Action No. SYN-NDWV-25-CV-0618

United States District Court for the Northern District of West Virginia

Pleading designation: Asterglen's response to the amended counterclaim.

Asterglen Freight Software, Inc., Plaintiff and Counterclaim Defendant, v. Copper Kestrel Logistics, LLC and Meridian Silt Holdings, LLC, Defendants.

Asterglen answers Copper Kestrel's First Amended Counterclaim. It denies every allegation not expressly admitted.

1. Asterglen admits the parties signed the Pilot License on April 15, 2024, for twelve terminals.
2. Asterglen admits Copper later proposed twenty-nine additional terminals in an unsigned June 3 document. It denies that later conduct supplied the missing written approval.
3. Asterglen admits issuing load-test conditions on June 10 and provisioning identifiers for controlled evaluation. It denies that those steps permitted unrestricted production activity.
4. Asterglen lacks knowledge concerning every term of Copper's relationship with Meridian Silt and denies any allegation inconsistent with the June 14 statement of work.
5. Asterglen admits that forty-one identifiers existed by July 1. The existence of technical credentials did not change the licensed terminal count.
6. Asterglen denies that Copper accurately describes the disputed July 8 conversation or the reason work continued afterward.

Responses to Paragraphs 6–13

7. Asterglen admits Section 9.2 contains a notice and fifteen-calendar-day cure provision for a remediable breach. The entire agreement controls its application.
8. Asterglen admits the provision can protect orderly performance when a breach is capable of cure. It denies that the clause erased consequences of completed unauthorized use.
9. Asterglen admits technical records may distinguish types of activity. It denies that every challenged event was merely preparatory or simulated.
10. Asterglen admits making statements on July 8 that allowed a bounded test to continue under the June 10 writing. It denies approving general deployment across the proposed group.
11. Asterglen admits no signed amendment followed. It denies that continuing observation or data collection constituted consent to conduct outside the written conditions.
12. Asterglen admits its July 18 audit counted forty-one identifiers. It states that the audit also evaluated activity, configuration, and adherence to restrictions, not simply the count.
13. Asterglen admits Copper proposed a reduction to twelve terminals within three business days. It denies the proposal addressed historical use, service consumption, or every control issue.
14. Asterglen denies that the entire asserted breach was capable of full correction. A prospective reduction could not reverse activity already completed.
15. Asterglen denies Copper was entitled to continue disputed access while Asterglen assessed whether the proffered plan was sufficient.

Responses to Paragraphs 14–29

16. Asterglen admits sending the July 22 termination and \$480,000 demand and admits the communication made those positions immediately effective.
17. Asterglen admits it provided no cure interval in that communication. It denies that this fact alone establishes breach, because Section 9.2 did not govern all conduct and relief addressed.
18. Asterglen admits Copper requested cure and transitional access. It denies Copper supplied enough verification to require Asterglen to maintain credentials.
19. Asterglen admits it did not later begin a fifteen-day period. It denies that its decision prevented lawful correction Copper could otherwise complete.
20. Asterglen denies Copper's legal interpretation of Section 9.2. The agreement distinguishes a remediable condition from completed misuse and other injury not erased by configuration changes.
21. Asterglen denies that Meridian's work through July 25 proves feasibility of cure. Meridian's continued activity is also relevant to Asterglen's pending interference claim.
22. Asterglen denies causing Copper to obtain substitute routing or issue customer credits. Copper's own planning and conduct were intervening causes.
23. Asterglen denies paragraphs 22 through 29 to the extent they allege contract performance, breach, hindrance, causation, or \$120,000 in damages. Asterglen admits only that the parties' claims share evidence and that Copper does not seek enforcement of the unsigned proposal.

Responses to Damages and Defenses

24. Asterglen lacks knowledge sufficient to admit the alleged emergency-labor and temporary-routing components. It therefore denies the amount, causation, necessity, and reasonableness of each claimed item.
25. Asterglen similarly denies that Copper incurred customer credits or technical-restoration expense attributable to conduct by Asterglen. Copper must prove each transaction was incurred, reasonably necessary, and caused by the July 22 action.
26. Asterglen denies the aggregate \$120,000 demand. It admits Copper says it excluded ordinary fees and lost profit, but reserves discovery concerning the calculation.
27. Asterglen denies Copper reasonably mitigated. Copper knew the signed scope remained twelve terminals and could have observed the June 10 limitations before the audit.
28. Asterglen admits that setoff may become a remedial question if opposing monetary awards are entered. It denies Copper presently holds an enforceable offset.

Asterglen asserts failure to state a claim, prior material breach, prevention, waiver, estoppel, failure to mitigate, lack of causation, unforeseeability, contractual limitation, and setoff or recoupment. These defenses apply only to the extent supported by the Pilot License and evidence. Asterglen specifically alleges that completed unauthorized use was not wholly remediable and that Copper's independent routing and customer decisions caused or enlarged the claimed loss.

Prayer and Jury Demand

Asterglen asks the Court to dismiss the First Amended Counterclaim with prejudice, enter judgment that Copper recover nothing, and award Asterglen allowable costs and any other proper relief. If Copper establishes a recoverable amount, Asterglen requests application of contractual limits, mitigation principles, and a lawful setoff against any judgment entered on Count I.

Asterglen demands a jury trial on factual issues triable by jury. It specifically contests Copper's account of the July 8 conversation, the classification of activity across the forty-one provisioned identifiers, the completeness of the proposed three-business-day reduction, and the causal link between termination and Copper's claimed expenses. Asterglen admits that the July 22 communication provided zero cure days, but disputes the legal consequence under the full agreement and circumstances.

This pleading responds only to the First Amended Counterclaim filed as District ECF No. 14. It does not alter Asterglen's Complaint, concede Meridian Silt's account, or treat the unsigned June 3 proposal as an executed license. Asterglen reserves the right to amend its responses and defenses upon a proper showing under the Federal Rules of Civil Procedure.

Respectfully submitted on May 27, 2025.

Counsel for Asterglen Freight Software, Inc. Authorized counsel designation